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Greed, negligence and lax regulation combine to deliver a scam.
As India Inc reels, the Government grapples with the mega fraud.



Photographs by A PRABHAKARRAO

**B. RAMALINGA RAJU
BEING TAKEN INTO
CUSTODY**

By Shankkar Aiyar and Amarnath K. Menon

You could call it the flawless code for the perfect fraud. Although not a software engineer and only a commerce graduate, B. Ramalinga Raju wrote a code that was simple, resolved the conflict for being seen as one of the biggest without being one and delivered riches. It was perfect because nobody got a whiff of the scandal till he confessed to it. By his own admission for seven long years—that's, 28 quarters—Raju inflated income, profits and cash reserves. Between 2001 and September 2008, cash balance in the company rose from Rs 840 crore to Rs 5,312 crore. The fraud amounted to Rs 7,136 crore which is a little less than the total assets of Rs 7,281 crore reported by the company in its March 2008 balance sheet. The virus that Raju authored infected the mainframe of India's fourth largest software company and exposed India Inc to speculation and